



Maryland Correctional Enterprises

BUSINESS PLAN FY 2018 - 2020

SEPTEMBER 2017





Department of Public Safety and Correctional Services

Maryland Correctional Enterprises

7275 WATERLOO ROAD • JESSUP, MARYLAND 20794 • www.mce.md.gov
(410) 540-5400 • FAX (410) 540-5570 • TTY USERS (800) 735-2258

STATE OF MARYLAND

LARRY HOGAN
GOVERNOR

BOYD K. RUTHERFORD
LT. GOVERNOR

STEPHEN T. MOYER
SECRETARY

WILLIAM G. STEWART
DEPUTY SECRETARY
ADMINISTRATION

J. MICHAEL ZEIGLER
DEPUTY SECRETARY
OPERATIONS

RHEA L. HARRIS
ASSISTANT SECRETARY
PROGRAMS AND
SERVICES

DAVID N. BEZANSON
ASSISTANT SECRETARY
CAPITAL PROGRAMS

DIVISION OF CORRECTION

DAYENA M. CORCORAN
COMMISSIONER

CAROLYN J. SCRUGGS
ACTING DEPUTY
COMMISSIONER

MARYLAND
CORRECTIONAL
ENTERPRISES

STEPHEN M. SHILOH, CCE
CHIEF EXECUTIVE
OFFICER

MANAGING FOR RESULTS

MARYLAND CORRECTIONAL ENTERPRISES STRATEGIC BUSINESS PLAN FISCAL YEARS 2018-2020

Stephen M. Shiloh, CCE
Chief Executive Officer

SEPTEMBER 2017

Stephen T. Moyer
Secretary

Department of Public Safety and Correctional Services

J. Michael Zeigler
Deputy Secretary - Operations

Department of Public Safety and Correctional Services

Dayena M. Corcoran
Commissioner of Correction
Division of Correction



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STATE OF MARYLAND

September 2017

LARRY HOGAN
GOVERNOR

Dear MCE Employees and Stakeholders:

BOYD K. RUTHERFORD
LT. GOVERNOR

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SECRETARY

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STEPHEN M. SHILOH, CCE
CHIEF EXECUTIVE
OFFICER

On behalf of Maryland Correctional Enterprises (MCE), it is indeed a pleasure to present a copy of the Strategic Business Plan Fiscal Years 2018-2020 for your review. The Plan was developed by MCE employees, facilitated by the DPSCS Police and Correctional Training Commissions, and is based on the goals of: maintaining a self-supporting status, increasing inmate employment, increasing customer satisfaction, improving organizational excellence, and providing support and services for successful inmate transition to the community.

In May 2001, the first MFR Seminar was held at the Maritime Institute of Technology to review the first Business Plan published in September 2000 and to prepare for the next edition. MCE has held to this schedule ever since.

The 2017 MFR Seminar occurred on May 16, 2017. This year's seminar was redeveloped to include field and headquarters staff that had traditionally not received the opportunity to participate in previous seminars. This year's group focused on revitalizing the MCE Vision Statement and brought a multitude of new ideas to the planning session. This new format encouraged participation, focused on teambuilding, and promoted interdepartmental communication throughout MCE.

2017 MFR Participants

Facilitators: Jennifer Beskid and Darla Rothman
(DPSCS Police and Correctional Training Commissions)

Michelle Baldwin	Jeffrey Eagan	Francis Johnson	Thomas Seltzer
Cliff Benser	David Hamrick	Ashley Lohr	James True
Tyrese Jackson	Shari Hoffman	Thomas McBurney	Tyler Utterback
Bronwynn Byers	Jillian Hughes	Anthony Morgan	Debra Watson
Stephen Compton	James Jackson	William Parham	
John Dorsey	James John	Ricky Rowe	

Stability has been established in working towards attainment of the long range Goals and Objectives by the accomplishment of the shorter term Strategies. However, success of the plan can only be achieved through cooperation and teamwork. Any questions or comments may be directed to myself, Cliff Benser (410-540-5404) or Tom McBurney (410-540-5439).

Best Regards,

Steve Shiloh
Chief Executive Officer

Maryland Correctional Enterprises

Strategic Business Plan FY 2018 - 2020

MISSION STATEMENT

The mission of **Maryland Correctional Enterprises (MCE)** is to provide structured employment and training activities for offenders in order to improve employability upon release, to enhance safety and security, to reduce prison idleness, to produce quality, saleable goods and services, and to be a financially self-supporting State agency.

VISION STATEMENT

Transforming lives through mentoring, providing marketable skills, and instilling positive work ethics to contribute to a safer community.

VALUES STATEMENT

The following beliefs (core principles) support our mission and vision statements:

Quality and Customers - We are committed to provide our customers with the highest quality products and services in a timely manner within all areas of Maryland Correctional Enterprises.

Environmentally Friendly – We are committed to improving our environmental awareness in all areas of Maryland Correctional Enterprises.

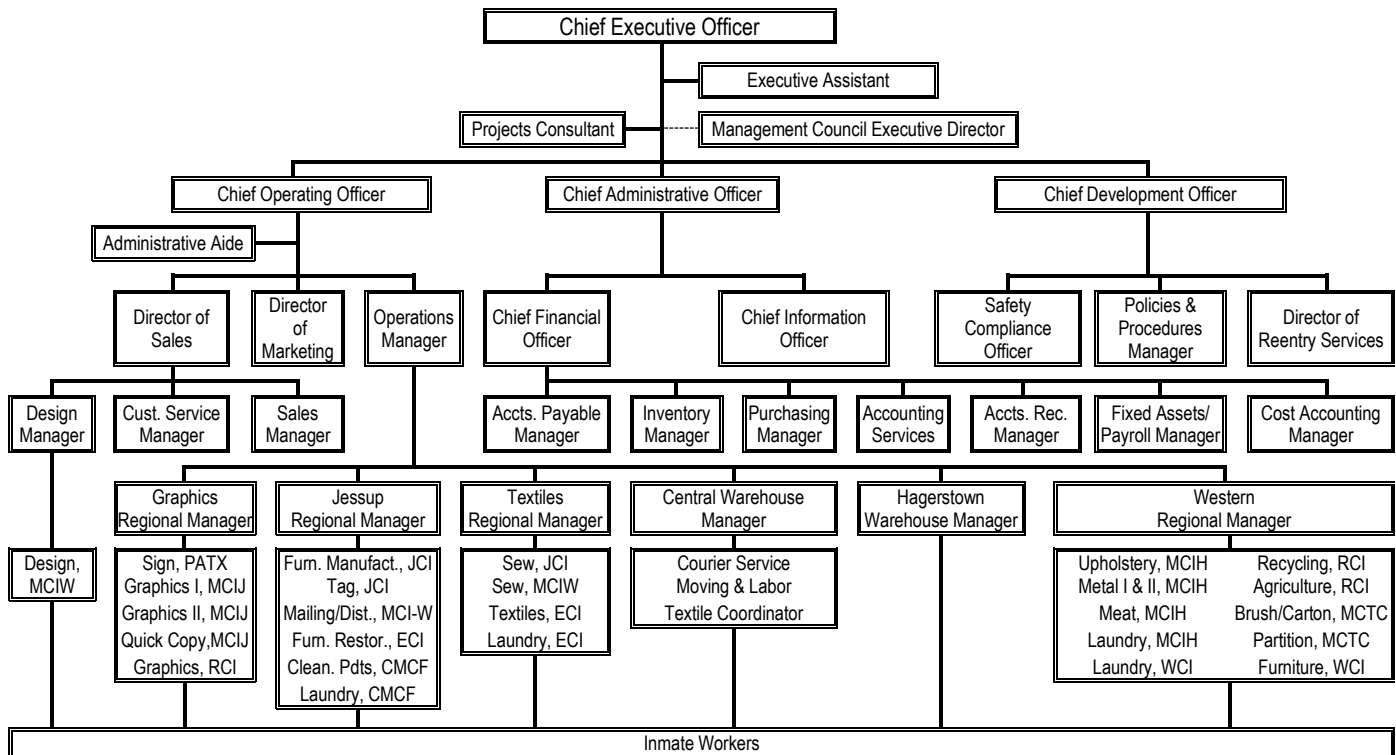
Financially Successful - We will manage our financial resources (assets, profits, sales, cash, investments) to support existing operations and future expansion.

Transition Services - We are committed to quality training and preparation of our inmate work force to enhance their employment opportunities upon release.

Teamwork and Communications - We value each employee as an important asset in helping to achieve the mission of the agency through teamwork and effective communications.

Professionalism - We value effective leadership and strive for impartiality and fairness in the workplace. We encourage personal and professional development. We recognize and reward dedication and commitment to excellence.

MCE STRATEGIC BUSINESS PLAN FISCAL YEARS 2018-2020



MANAGEMENT

Maryland Correctional Enterprises
 7275 Waterloo Road
 Jessup, Maryland 20794
 (410) 540-5400

Title

Chief Executive Officer
 Executive Assistant to the CEO
 Chief Operating Officer
 Chief Administrative Officer
 Chief Development Officer
 Director of Marketing
 Exec. Director of Mgmt. Council
 Director of Sales
 Sales Manager
 Chief Financial Officer
 Operations Manager
 Projects Consultant
 Customer Service Manager
 Design Manager
 Chief Information Officer
 Re-Entry Services Director

Name

Steve Shiloh
 Vacant
 Joe Sommerville
 Mark Rowley
 Ashley Lohr
 Jillian Hughes
 David Jenkins
 Todd Deak
 Jim Hook
 Verona Williams
 Stephen Sanders
 Cliff Benser
 Shari Hoffman
 Terry Hill
 Vacant
 Vacant

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 (410) 540-5479
 (410) 540-5404
 (410) 540-5452
 (410) 540-5441
 (410) 540-5469
 (410) 294-8395

REGIONAL MANAGERS

Region

Western
 Jessup/ECI Furniture Restoration
 Textiles/ECI Liaison
 Graphics
 Central Warehouse Manager
 Hagerstown Warehouse Manager

Name

Greg Haupt
 Dan Bickford
 Donna Beck
 Jim Cluster
 Mathew Hall
 Ron Brown

Phone

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 (410) 651-9102
 (410) 540-6727
 (410) 540-5476
 (240) 420-1232

Maryland Correctional Enterprises/Q00A 03.01
Fiscal Years 2018 – 2020
Goals, Objectives, Strategies

Goal #: 1.1	To maintain self-supporting status to support existing operations and future expansion.		
Objective #: 1.1.1	To achieve a 3% net operating income level every fiscal year through June 2020.		
Strategy #: 1.1.1.1	Analyze revenues and expenditures, including agency wide control of costs, on a monthly basis and take corrective action when necessary to ensure the objective.		
Performance Measures		Net operating income level achieved in each fiscal year.	
Chairperson		Chief Executive Officer	
Members		Chief Operating Officer, Chief Administrative Officer, Chief Financial Officer, Regional Managers, Senior Accountant, Operations Manager, Inventory Manager, Invited Guest Member	

Summary of Strategy Results

	<u>FY2011</u>	<u>FY2012</u>	<u>FY2013</u>	<u>FY2014</u>	<u>FY2015</u>	<u>FY2016</u>	<u>FY2017</u>
Net Operating Income	2.7%	4.2%	(1.2%)	2.2%	2.3%	5.3%	N/A
Adjusted Net Operating Income (after transfers)	2.0%	2.6%	(2.2%)	(1.3%)	0.0%	5.3%	N/A

Adjustments:

FY2011	(\$376,650) transfer to State's General Fund for the Budget Reduction and Financing Act of 2010.
FY2012	(\$325,000) transfer to State's General Fund for the Budget Reduction and Financing Act of 2011.
FY2013	(\$500,000) transfer to State's General Fund in FY2013.
FY2014	(\$1,800,000) transfer to State's General Fund in FY2014.
FY2015	(\$1,000,000) transfer to State's General Fund in FY2015.

	<u>1st Quarter</u>	<u>2nd Quarter</u>	<u>3rd Quarter</u>	<u>4th Quarter</u>
<u>Fiscal Year 2017</u>	10.4%	7.3%	5.2%	N/A

The Chief Executive Officer conducts Gross Profit meetings with the Committee Members each month except for July, August, and September when financial data is not available due to the annual financial audit of MCE.

Strategy #: 1.1.1.2	Evaluate the purchasing practices of our customers to determine trends and analyze data.
Performance Measures	Annual review of customer data to be compared to FY 2017 baseline data.
Chairperson	Director of Sales
Members	Director of Marketing, Cost Accountant, Chief Information Officer, Sales Manager, Rotating Plant Manager, Design Manager

Summary of Strategy Results

Monitoring K-12 sales (monthly) comparing FY 15/16/17.

FY2017

<u>County K-12 Sales</u>	<u>FY 15</u>	<u>FY 16</u>	<u>FY 17</u>	<u>% Comp.</u>
Allegany County	\$0.00	\$0.00	\$0.00	0%
Anne Arundel County	\$37,413.29	\$68,439.00	\$40,156.95	-41%
Baltimore City	\$2,458.10	\$1,892.75	\$6,111.29	223%
Baltimore County	\$4,897.00	\$14,835.19	\$6,340.00	-57%
Calvert County	\$0.00	\$0.00	\$0.00	0%
Carroll County	\$14,530.05	\$3,730.46	\$2,346.95	-37%
Caroline County	\$1,770.00	\$0.00	\$0.00	0%
Cecil County	\$0.00	\$0.00	\$0.00	0%
Charles County	\$288.00	\$0.00	\$0.00	0%
Dorchester County	\$27,030.85	\$19,263.06	\$12,579.56	-35%
Frederick County	\$0.00	\$1,032.00	\$2,064.00	100%
Garrett County	\$0.00	\$0.00	\$0.00	0%
Harford County	\$19,315.00	\$2,234.00	\$4,887.00	119%
Howard County	\$72,861.00	\$108,720.00	\$48,673.00	-55%
Kent County	\$0.00	\$0.00	\$0.00	0%
Montgomery County	\$31,058.00	\$6,006.39	\$25,570.69	326%
Prince Georges County	\$0.00	\$0.00	\$0.00	0%
Queen Anne's County	\$0.00	\$0.00	\$0.00	0%
Somerset County	\$0.00	\$0.00	\$0.00	0%
St. Mary's County	\$0.00	\$0.00	\$0.00	0%
Talbot County	\$0.00	\$0.00	\$0.00	0%
Washington County	\$5,399.15	\$2,752.96	\$2,048.50	-26%
Wicomico County	\$0.00	\$0.00	\$0.00	0%
Worcester County	\$600.00	\$1,200.00	\$854.65	-29%
Sub Total:	\$217,620.44	\$230,105.81	\$151,632.59	-34%
MD State Dept. of Education HQS	\$174,815.97	\$620,456.25	\$147,488.22	-76%
MSDE-Library for the Blind & Physically Handicapped	\$1,074.00	\$1,914.50	\$14,970.00	682%
MSDE-Division of Rehab Services (Timonium)	\$2,797.20	\$2,896.60	\$7,525.80	160%
MSDE-Division of Rehab Services (Baltimore)	\$300,231.25	\$356,197.50	\$284,089.96	-20%
MD School for the Deaf (Frederick)	\$37,479.17	\$44,792.36	\$22,766.00	-49%
MD School for the Deaf (Columbia)	\$9,003.33	\$9,814.33	\$7,619.57	-22%
Grand Total:	\$743,021.36	\$1,266,177.35	\$636,092.14	-50%

Note: % comparison is based on FY 16/17 numbers

Strategy #: 1.1.1.3	Identify, share and implement quality improvements and cost reduction/avoidance programs each year.
Performance Measures	Implement, share and document cost reduction/avoidance and measure quality assurance programs per fiscal year.
Chairperson	Operations Manager
Members	Chief Financial Officer, Chief Information Officer, Chief Operating Officer, Director of Sales, Inventory Manager, Regional Managers, Chief Development Officer

Summary of Strategy Results

1. Quality process and continuous improvement:

Throughout FY 2017 we have used the Quality Process Procedures that have been implemented to ensure consistent quality for the products that we provide to our customers. Quality inspection stations are in place to monitor the performance of our equipment and our operators based on Statistical Process Control modules. Production or supplier defects that are identified in process are corrected before they are passed on to the next station or team. The root cause of the defect is identified to prevent further occurrences. Final inspection stations using SPC quality control check sheets are designed to prevent defects from leaving the plant or business units. The data is collected and used to determine the performance of the shop or business unit. Continuous improvement techniques are employed to reduce defects and improve the First Time Pass Rate of the products shipped. Improvements and investments have been made in the area of packaging and shipping to ensure that quality defect free products are consistently delivered to our customers. Anomalies are addressed accordingly.

We have made improvements to our Quick Ship Program as well as to our Textiles Sneaker and Boot inventory and delivery processes to ensure on time delivery and Customer Satisfaction.

In FY 2018 we plan to make noticeable improvements in the area of paint stain and clear coat finish. The goal is to eliminate defects in the area of dirt and environmental contaminants to the finished surface. This initiative will take place in phases and will include a standardized methodology throughout Maryland Correctional Enterprises.

Strategy #: 1.1.1.4	Update standard costs and selling prices on an annual basis.
Performance Measures	Annually review and audit business unit standard costs and selling prices for profitability.
Chairperson	Chief Financial Officer
Members	Cost Accountant, Director of Sales, Chief Operating Officer, Director of Marketing, Senior Accountant, Purchasing Manager.

Summary of Strategy Results

- The Fiscal department entered the first quarter of FY17, with severe staff shortages. Both the positions of the Cost Accountant and the Accountant Supervisor were and remain vacant; as a result, there were no scheduled updates to standard costs or selling prices resulting from costs analysis. MCE anticipates that one or both of these positions will be occupied by the end of the second quarter.
- During the second and third quarters of FY17, the Finance Department completed the following:
 - Added new item numbers as needed to facilitate the production of goods to meet customer needs.

The practice of completed standard costs analyses has been suspended due to a shortage of staffing.

The Department is in the recruiting process to fill two vacancies.
- During the fourth quarter of FY17, the Finance Department completed the following:

Added all new item numbers to the inventory records.

All price changes to the FY18 catalog.

Strategy #: 1.1.1.5	Collaborate with other state correctional industries to identify best practices and additional venture opportunities.
Performance Measures	Annually document contacts with other state correctional industries.
Chairperson	Chief Development Officer
Members	Operations Manager, Chief Operating Officer, Chief Administrative Officer, Regional Managers, Director of Marketing, Plant Managers, Director of Sales, Guest

Summary of Strategy Results

1. New Strategy developed at the MFR Seminar on May 16, 2017.
2. MCE will continue to review the following items produced by the National Correctional Industries Association (NCIA): Annual Directory, Quarterly News Publications, and Webinars. MCE's Chief Administrative Officer is also a member of the NCIA Board of Directors.

Objective #: 1.2.1	Continue to achieve annual sales of at least \$50,000,000.
Strategy #: 1.2.1.1	Semi-annually review and update the Marketing and Sales Plan.
Performance Measures	Sales achieved in each fiscal year.
Chairpersons	Director of Sales and Director of Marketing
Members	Chief Executive Officer, Chief Operating Officer, Sales Manager, Operations Manager

Summary of Strategy Results

Sales

<u>FY2010</u>	<u>FY2011</u>	<u>FY2012</u>	<u>FY2013</u>	<u>FY2014</u>	<u>FY2015</u>	<u>FY2016</u>	<u>FY2017</u>
\$50,432,574	\$50,549,517	\$53,026,538	\$50,819,576	\$51,799,493	\$54,049,268	\$61,442,491	\$58,951,233
(4.7%)	0.23%	4.9%	(4.2%)	1.9%	4.3%	13.7%	(4.3%)
<u>Cumulative Totals</u>		<u>1st Quarter</u>	<u>2nd Quarter</u>	<u>3rd Quarter</u>	<u>4th Quarter</u>		
<u>Fiscal Year 2017</u>		\$16,418,441	\$29,622,482	\$41,937,767	\$58,951,233		

		1st Quarter	2nd Quarter	3rd Quarter	4th Quarter	YTD
SALES (#s taken from preliminary reports)	FY16	\$17.5 million	\$15.7 million	\$12.0 million	\$16.2 million	\$61.4 million
	FY17	\$16.4 million	\$13.2 million	\$12.4 million	\$16.9 million	\$58.9 million
INCOMING ORDERS	FY16	\$16.1 million	\$11.0 million	\$13.6 million	\$10.3 million	\$51.0 million
	FY17	\$14.1 million	\$12.0 million	\$16.0 million	\$11.1 million	\$53.2 million
WEBSITE SALES	FY16	\$102 thousand	\$116 thousand	\$109 thousand	\$186 thousand	\$513 thousand
	FY17	\$191 thousand	\$99 thousand	\$159 thousand	\$168 thousand	\$617 thousand

Objective #: 1.3.1	Improve MCE's visibility among our customer base and other stakeholders.
Strategy #: 1.3.1.1	Identify and educate customers and stakeholders.
Performance Measures	At least (12) presentations annually to new customers/stakeholders.
Chairpersons	Director of Sales and Director of Marketing
Members	Operations Manager, Regional Managers, Sales Manager, Executive Assistant to CEO, Director of Reentry Services, Design Representative/Guest

Summary of Strategy Results

1. FY2017 Conventions:

• MD Association of Counties (MACo)	August 17-20, 2016	Ocean City, MD
• DNR-MD Park Field Service Day	September 28, 2016	Patapsco State Park, MD
• MD Association of Boards of Education (MABE)	October 5-7, 2016	Ocean City, MD
• Association of School Business Officials (ASBO)	November 4, 2016	Maritime Institute, MD
• MCE Annapolis Showcase	January 26, 2017	Annapolis, MD
• MD Association of Elementary School Principals (MAESP)	March 31, 2017	Cambridge, MD
• MD Library Association (MLA)	May 10-12, 2017	Cambridge, MD
• Association of School Business Officials (ASBO)	May 21-24, 2017	Ocean City, MD
• MD Correctional Administrators Association (MCAA)	June 4-6, 2017	Ocean City, MD
• MD Firemen's Association (MFA)	June 18-21, 2017	Ocean City, MD
• MD Municipal League (MML)	June 25-28, 2017	Ocean City, MD

2. Facility Tours conducted in FY2017:

- September 20th: Community Outreach toured MCI-W and JCI Plants.
- September 22nd: MD Women's Legislative Council toured the Plants at MCI-W.
- October 19th: Women Offenders Workgroup toured MCI-W.
- December 14th: Senators/Delegates toured JCI Tag and Wood Plants.
- January 24th: Republican Caucus Staff Presentation.
- March 13th: MTA toured Patuxent Sign Plant.
- April 5th: Made in Baltimore Tour.
- April 7th: Kiwanis Incubator Foundation Tour.
- April 13th: Presentation for DHR/DSS procurement.
- April 14th: Humphrey Fellowship Tour.

Goal #: 2.1	To maximize inmate employment.	
Objective #: 2.1.1	Continue to employ at least 2,000 inmates	
Strategy #: 2.1.1.1	Investigate inmate employment opportunities through expansion of existing facilities, the creation of new business units, and the identification of additional inmate job functions.	
Performance Measures	Inmate employment achieved in each fiscal year.	
Chairperson	Chief Executive Officer	
Members	Chief Operating Officer, Chief Development Officer, Operations Manager, Regional Managers, Plant Managers	

Summary of Strategy Results

Inmate Employment

<u>FY2010</u>	<u>FY2011</u>	<u>FY2012</u>	<u>FY2013</u>	<u>FY2014</u>	<u>FY2015</u>	<u>FY2016</u>	<u>FY2017</u>
2,047	1,855 ¹	2,065	2,038	2,091 ²	2,041	2,035	2,042
			<u>1st Quarter</u>	<u>2nd Quarter</u>	<u>3rd Quarter</u>	<u>4th Quarter</u>	
<u>Fiscal Year 2017</u>			1,986	2,001	2,025	2,042	

NOTES: ¹ During FY2011, elimination of PINS via budget cuts and MCE's forced participation in the VSP negatively affected inmate employment.

² MCE was forced to close its Upholstery Plant at NBCI in October 2013 due to the continuing Lock-down situation at that Institution. This action has resulted in the loss of 25 inmate positions.

RENOVATION PROJECT:

8037 Brock Bridge Road Warehouse

- Project completion is anticipated in the first quarter of FY2018.

EXPANSION PROJECTS:

1. New MCE Graphics/Textile Plant at JCI in FY2024 (210 inmate positions at JCI). The Sew Pant currently located at JCI and the Graphics II Plant currently located at MCI-J will be relocated in total to the new JCI Graphics/Textile Plant. 20 inmate positions added at Graphics II. Revised program was submitted to the Division of Capital Construction on October 24, 2013. Design Funding in FY2022, with completion in FY2024.
2. MCE Furniture Restoration Plant expansion at ECI in FY2024 (25 inmate positions). Design Funding in FY2022.
3. New Distribution Center at ECI in FY2025 (15 inmate positions). Design Funding in FY2023.

Strategy #: 2.1.1.2	Continue recruitment efforts with HRSD personnel to obtain necessary supervisory and support staff positions.	
Performance Measures	Maintain an appropriate number of civilian staff members in order to insure a safe, secure, and efficient workplace.	
Chairperson	Chief Executive Officer	
Members	Chief Operating Officer, Operations Manager, Chief Development Officer, Executive Assistant to CEO, Regional Managers, Plant Managers, HRSD Guest Representative	

Summary of Strategy Results

- In FY 2017, seven years of data from the National Correctional Industries Association revealed an average Civilian Staff/Inmate Employee Ratio of 1:9.7. Eight years of MCE data revealed an average Civilian Staff/Inmate Employee Ratio of 1:12.2 and an average Supervisor/Inmate ratio of 1:18.8.

MCE						NCIA		
Fiscal Year	Civilian Staff	Plant Supervisors	Inmates Employed	Civilian/ Inmate Ratio	Supervisor /Inmate Ratio	Civilian Staff	Inmates Employed	Civilian/ Inmate Ratio
2010	187	109	2,047	1:10.9	1:18.8	7,705	74,750	1:9.7
2011	171	104	1,855	1:10.8	1:17.8	6,612	70,507	1:10.7
2012	176	115	2,065	1:11.7	1:18.0	6,702	67,891	1:9.9
2013	174	116	2,038	1:11.7	1:17.6	6,953	65,288	1:9.4
2014	170	115	2,091	1:12.3	1:18.2	6,946	64,761	1:9.3
2015	165	108	2,041	1:12.4	1:18.9	6,652	62,602	1:9.4
2016	148	100	2,035	1:13.8	1:20.4	6,601	60,705	1:9.2
2017	146	97	2,042	1:14.0	1:21.0			

Strategy #: 2.1.1.3	Develop private industry partnerships.	
Performance Measures	Pursue new PIE partnerships each fiscal year.	
Chairperson	Chief Development Officer	
Members	Executive Director of Management Council, Chief Operating Officer, Projects Consultant, Administrator I, Appropriate Plant Manager, Operations Manager	

Summary of Strategy Results

- MCE will continue to investigate and explore Private Industry Enhancement (PIE) partnerships with the private sector.

Inmate Payroll Summary for PIE Programs

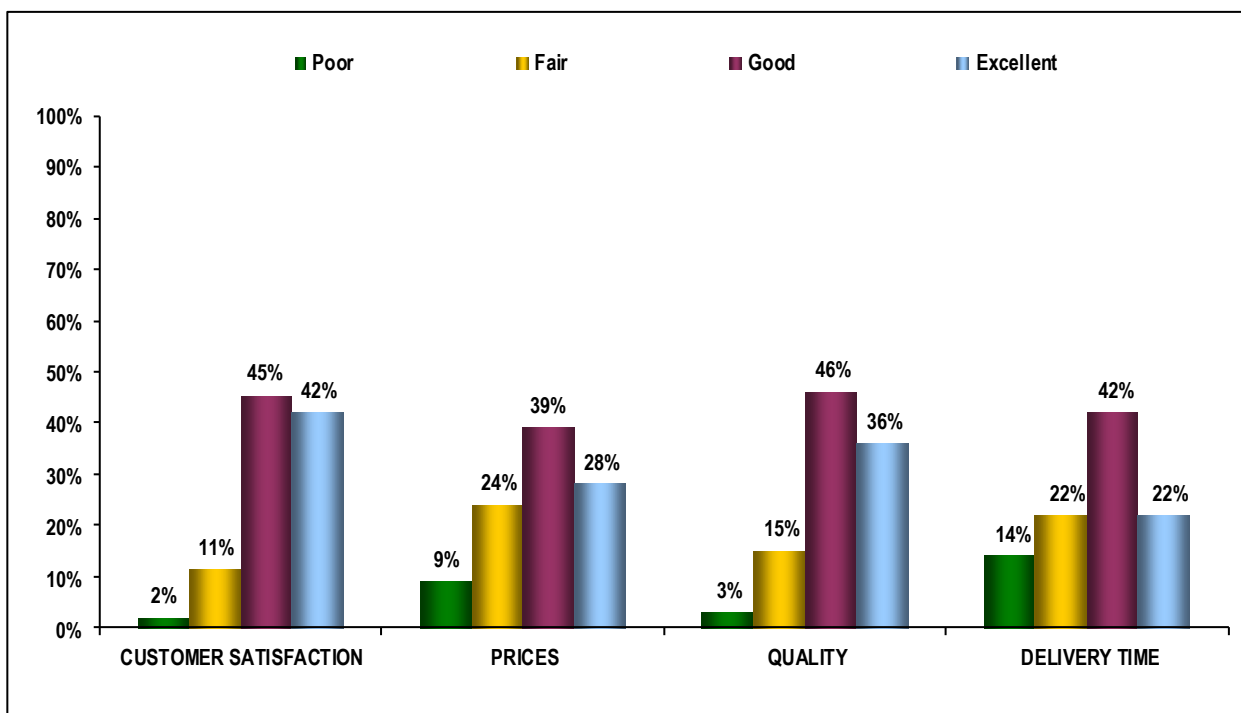
FY	No. of Customers	No. of Inmates	Total Earnings	Total Withholdings Taxes		Total Room & Board	Total Victims Compensation	Total Family Support
				Federal	Maryland			
2006	2	11	53,329.70	2,338.41	2,574.19	15,998.97	5,333.06	0.00
2007	3	22	111,876.95	5,252.78	4,492.74	33,563.44	11,187.97	0.00
2008	1	8	69,656.52	4,887.92	3,397.23	20,897.11	6,965.76	0.00
2009	1	7	60,281.06	3,518.09	2,859.21	18,084.35	6,028.13	368.54
2010	1	4	14,138.76	452.04	656.63	4,241.63	1,413.91	0.00
2011	1	6	37,709.17	2,604.14	1,942.01	11,312.79	3,770.92	0.00
2012	1	7	50,405.60	3,054.22	2,442.38	15,121.76	5,040.58	0.00
2013	1	6	14,052.25	911.35	684.30	4,215.70	1,405.30	0.00
2014	1	6	16,061.15	1,056.60	821.01	4,818.40	3,212.31	0.00
2015	1	7	27,461.19	1,882.04	1,497.19	8,238.43	5,492.33	0.00
2016	0	0	0.00	0.00	0.00	0.00	0.00	0.00
2017	0	0	0.00	0.00	0.00	0.00	0.00	0.00

Goal #: 3.1	To increase customer satisfaction.
Objective #: 3.1.1	Determine customer satisfaction factors and take appropriate steps to address these issues.
Strategy #: 3.1.1.1	Annual customer survey to identify areas of customer needs.
Performance Measures	Survey results and analysis annually.
Chairperson	Director of Marketing
Members	Customer Service Manager, Chief Information Officer, Regional Managers, Sales Manager, Director of Sales, Operations Manager, Warehouse Managers

Summary of Strategy Results

1. The following graph represents findings from the Fiscal Year 2017 Customer Satisfaction Survey. Data was collected from 180 participants (Survey was closed 6/30/17).

Overall Customer Ratings for MCE Products and Services



The majority of respondents rated MCE **GOOD** or **EXCELLENT** in Customer Satisfaction, Prices, Quality and Delivery Time.

Objective #: 3.1.2	Continue to improve MCE's delivery time.
Strategy #: 3.1.2.1	Evaluate delivery time by product grouping.
Performance Measures	Actual delivery times and monthly value of overdue orders.
Chairperson	Chief Operating Officer
Members	Operations Manager, Regional Managers, Warehouse Managers, Director of Sales, Administrator I

Summary of Strategy Results

1. MCE Operations continues to track any orders overdue. At the end of the 4th Quarter overdue orders were at 0.45% of total sales which is a slight increase compared to last quarter. Monitoring overdue orders allows MCE to consistently reduce delivery times overall.

Average Delivery Time (Days)

<u>FY2010</u>	<u>FY2011</u>	<u>FY2012</u>	<u>FY2013</u>	<u>FY2014</u>	<u>FY2015</u>	<u>FY2016</u>	<u>FY2017</u>
23.1	23.4	23.5	26.2	31.3	25.4	22.3	22.9

The following divisions are tracked quarterly and annually:

	<u>Fiscal Year 2017 (Days)</u>			
	<u>1st Qtr</u>	<u>2nd Qtr</u>	<u>3rd Qtr</u>	<u>4th Qtr</u>
Graphics	18.4	18.4	18.0	18.5
Textiles	33.8	36.1	36.0	38.2
Furniture	32.7	32.4	31.5	30.6
Miscellaneous	11.7	9.7	8.4	8.6
Total	22.9	23.1	22.5	22.9

AVERAGE DELIVERY TIMES

Graphics – 2 Weeks	Textiles – 6 Weeks	Furniture – 7 Weeks	Miscellaneous – 2 ½ Weeks
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Strategy #: 3.1.2.2	Evaluate the MCE Quick Ship product line.
Performance Measures	Annually review the MCE Quick Ship product line based on customer requests and needs.
Chairperson	Operations Manager
Members	Director of Sales, Director of Marketing, Warehouse Managers, Plant Managers, Regional Managers, Cost Accountant

Summary of Strategy Results

1. New Strategy developed at the MFR Seminar on May 16, 2017.

Strategy #: 3.1.2.3	Document and track partial deliveries.
Performance Measures	Weekly review documented partial deliveries.
Chairperson	Administrative Assistant to the COO
Members	Warehouse Managers, Regional Managers, Chief Operating Officer, Operations Manager

Summary of Strategy Results

1. New Strategy developed at the MFR Seminar on May 16, 2017.

Objective #: 3.1.3	Use of technology to enhance customer service and satisfaction.
Strategy #: 3.1.3.1	Improve MCE's infrastructure to align all processes which provide enhanced internal and external customer service.
Performance Measures	Implement IT infrastructure by January 2019.
Chairperson	Chief Administrative Officer and Project Manager
Members	Director of Sales, Customer Service Manager, Director of Marketing, Warehouse Managers, Chief Financial Officer, Chief Operating Officer, Operations Manager, Regional Managers, Chief Information Officer, MCE Staff

Summary of Strategy Results

1. ERP vendors "Global Shop Solutions", "SAGE", and "Infor" all presented demonstrations of their software solutions in the 3rd Quarter.

During the 3rd Quarter, an IT Requisition form was once again completed for the purchase of a new phone system for MCE Headquarters and the Brockbridge Road Warehouse.

2. ERP vendor "Guide Technologies" gave demonstrations of their ERP system in the 4th Quarter.
3. In the 4th Quarter, MCE met with Kevin Combs to reset the project and get a game plan to move forward.

Goal #: 4.1	To improve organizational excellence.	
Objective #: 4.1.1	By June 2018, establish and implement additional initiatives to improve teamwork and morale.	
Strategy #: 4.1.1.1	Identify opportunities for cross-training.	
Performance Measures	Develop and implement a cross-training program and/or field training event.	
Chairpersons	Director of Marketing and Executive Assistant	
Members	Guest Trainer from PCTC, MFR Participants 2017	

Summary of Strategy Results

1. The MCE Training Committee will reconvene during the first quarter of FY 2018 to set new priorities for training. The committee will reevaluate the training needs assessment for the agency. Innovative ways to implement cross-training opportunities will also be investigated. A discussion on training was facilitated during the MCE Annual MFR Seminar meeting in May 2017.

Strategy #: 4.1.1.2	Explore opportunities to improve communication between headquarters and field staff.	
Performance Measures	Identify opportunities to improve communications by the 2018 MFR meeting.	
Chairperson	Executive Assistant	
Members	Director of Marketing, Administrative Staff, MFR Participants 2017	

Summary of Strategy Results

1. New Strategy developed at the MFR Seminar on May 16, 2017.

Objective #: 4.1.2	Maintain ACA accreditation.
Strategy #: 4.1.2.1	Maintain ACA performance compliance annually.
Performance Measures	Maintain ACA accreditation.
Chairperson	Policy and Procedures Manager
Members	Chief Executive Officer, Chief Operating Officer, Regional Managers, Chief Administrative Officer, Operations Manager, Administrator I, Chief Development Officer

Summary of Strategy Results

1. The collection of documentation necessary for the 2018 ACA Audits continues. The ACA 2016 Standards Supplement showing several changes to the current standards was received at MCE Headquarters on February 15th. The ACA recommendation of a tool control procedure in the Central Warehouse was implemented on March 1st.

Objective #: 4.1.3	Research, identify, and implement an employee recognition program.
Strategy #: 4.1.3.1	Conduct a survey.
Performance Measures	Implement an employee recognition program by June 2018.
Chairperson	Director of Marketing
Members	MFR Participants 2017

Summary of Strategy Results

1. Although the Strategy number is the same as the previous strategy number, this is essentially a new strategy developed at the MFR Seminar on May 16, 2017.

Objective #: 4.1.4	Streamline paperwork and processes across business units.
Strategy #: 4.1.4.1	Evaluate documents that are currently being used for effectiveness.
Performance Measures	Create an action plan for consolidating processes across business units.
Chairpersons	Chief Operating Officer and Chief Administrative Officer
Members	Chief Development Officer, Plant Managers, Regional Managers, Departmental Managers

Summary of Strategy Results

1. New Strategy developed at the MFR Seminar on May 16, 2017.

Goal #: 5.1	To provide support and services for successful inmate transition to the community.
Objective #: 5.1.1	Monitor, evaluate, and enhance MCE CARES.
Strategy #: 5.1.1.1	Partner with State, county and local organizations to increase the effectiveness of the CARES program for eligible participants.
Performance Measures	Monitor the outcomes established by MCE CARES (Enrollment, Completion, Employment, Recidivism)
Chairperson	Director of Reentry Services
Members	Chief Executive Officer, Chief Development Officer, Chief Operating Officer, Executive Director of the Management Council

Summary of Strategy Results

1. On July 5, 2017, the MCE CARES reentry program graduated 12 participants. This marked the conclusion of a six-month commitment that these men made to continue to lead positive lives. It also served as an important accomplishment that will set the tone for successful reentry to the communities that they will serve.

	<u>Calendar Year</u>	<u>Graduates</u>
CARES GRADUATES	2009	79
	2010	61
	2011	56
	2012	30
	2013	39
	2014	23
	2015	25
	2016	35
	2017 (6 months)	12
	Total	360

Objective #: 5.1.2	Monitor, evaluate, and enhance transition services for all MCE inmate workers.	
Strategy #: 5.1.2.1	Identify business and community partners as resources for inmate workers upon release.	
Performance Measures	Identify five additional business partners.	
Chairperson	Director of Reentry Services	
Members	Chief Executive Officer, Chief Development Officer, Chief Operating Officer, Executive Director of the Management Council	

Summary of Strategy Results

1. MCE hosted the small business owners of the “Made in Baltimore” network by providing a tour of the MCI-W sewing unit in order to build an employment matching system for MCE inmate workforce.
2. Director met with Director of Safe Streets and their staff to gauge interest in a partnership.
3. Director met with Prince George’s County economic development corporation about their services and becoming a partner for CARES graduates to get resources upon release.
4. Connected with K. McNeal Catholic Charities Washington DC branch to reconnect on how to get PG county CARES participants connected with her inmate mentorship program that she oversees.
5. Reconnected with Seedco and their reentry network. Currently in process of planning a future meeting to meet new team members.

Strategy #: 5.1.2.2	Explore options regarding economic strategies for inmates upon release.
Performance Measures	Assess the economic needs of the reentering inmate population.
Chairperson	Director of Reentry Services
Members	Chief Executive Officer, Chief Development Officer, Chief Operating Officer, Executive Director of the Management Council

Summary of Strategy Results

1. Sept 15th – The Director attended the Tri-State Reentry Task Force Meeting located in Hagerstown, MD.
2. The Director of Reentry Services, MCE's CEO, and the Director of the MCE Management Council met with the Parole Commission in order to explore the possibilities for MCE CARES graduates to be strongly considered for early release after completing the program.
2. On December 2nd, the Director of Reentry Services met with leadership of Seedco to explore possibilities of creating a reentry network for offenders returning to Baltimore.

CARES Participant Demographics
• As of 2016: 348 CARES graduates • Average 8 – 10 years incarceration prior to CARES • Offense: – 25% - Murder – 19% - Armed Robbery – 16% - Sexual Assault • Average age at incarceration – 35 • Average age participating in CARES – 45 • Race – 82% Black – 18% White – 2% Other • 80% employment as of 2015 -137/171 qualified graduates • Residence of graduates: Majority Baltimore City

4. MCE began discussion to partner with two professors of Loyola's Economics Department in order for them to research the impact of the CARES program on recidivism.
5. MCE Director of Reentry Services attended the Raising the Bar Conference as a networking opportunity to learn best workforce practices and network with potential business and community partners.
6. MCE Director of Reentry Services participated in the Tri-State Reentry Taskforce in order to learn about current economic climate and challenges with offender reentry.
7. Director attended the 2017 Reentry Practitioners' Symposium hosted by ReC Partnership Network to build community and business resources and gain knowledge on best practices in reentry.
8. Director attended Maryland Workforce Outlook forum at Towson University.
9. Director attended the Correctional Education Employer Engagement Committee which is partnering with key stakeholders in efforts to increase awareness of various programming and work opportunities for offenders behind the fence. Consensus in the room is that there still remain challenges on consistently engaging employers and convincing them to take opportunities on offenders as a workforce option.

Objective #: 5.1.3	Increase modern, technical training opportunities for offenders.
Strategy #: 5.1.3.1	Identify opportunities to modernize manufacturing equipment and software.
Performance Measures	Review equipment and software requests on a bi-annual basis
Chairpersons	Chief Operating Officer and Operations Manager
Members	Chief Executive Officer, Chief Development Officer, Chief Information Officer, Regional Managers, Relevant Plant Managers, Property Manager, IT Staff

Summary of Strategy Results

1. New Strategy developed at the MFR Seminar on May 16, 2017.



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